

Categorically, the firm that ignores the intangible qualities that the human beings who are our colleagues bring to their careers will *never* build a great workforce or a great organization.

Lord Keynes got it just right on this score, too: “It is the merest pretense to suggest that an enterprise is based on an exact calculation of benefits to come.... [We need] *animal spirits*, a spontaneous urge to action. If animal spirits are dimmed and spontaneous optimism falters, leaving us to depend on nothing but a mathematical expectation, the enterprise will fade and die.” And so it will. We must allow those animal spirits to triumph within our organizations and within ourselves.

Rule 7: Recognize Individual Achievement

In Vanguard’s early days, we were among the first firms to create a formal employee recognition program. It began, as I recall, in about 1980, and remains intact and virtually unchanged today. Each quarter, I would appear before a group of crew members and present the Vanguard Award for Excellence to one of the inevitably astonished colleagues. The award, based on nominations from one’s peers and reviewed by a committee of officers, is given for special team spirit, cooperation, exemplary service to clients and crew members, initiative, and resourcefulness. Some six to ten awards were presented each quarter and included a \$1,000 check, \$500 to the crew member’s favorite charity, and a plaque with the motto “*Even one person can make a difference.*” The Award for Excellence remains in place to this day.

The point isn’t to make recipients rich, but to recognize achievement, reinforcing an unshakable belief in the value of the individual to the organization as a whole. Even though I am no longer the company’s chief executive, I continue to sit down in my office with each award winner for an hour or so of conversation, at once listening and talking, learning and teaching, getting acquainted, and giving each winner a special signed copy of one of my books with a bookplate commemorating the award. Small as they may